EU–CENTRAL ASIA ECONOMIC AND TRADE COOPERATION: EVOLUTION AND CONTEMPORARY CHALLENGES

Rong Long
Master Student, Shenzhen University

Jingcheng Li
Corresponding Author, PhD.,
Assistant Professor, Shenzhen University

ABSTRACT

Amid global geopolitical shifts and the expansion of the Belt and Road Initiative, Central Asia's strategic importance as Eurasia's hub has risen markedly. Through the "Global Gateway" strategy, the European Union (EU) seeks to incorporate the region into its energy diversification, market outreach, and normative agenda. This article reviews the evolution and key areas of EU–Central Asia economic and trade cooperation, highlighting structural obstacles that hinder deeper ties. While progress has been achieved in energy, trade, and connectivity, challenges persist, including tensions between normative conditionality and pragmatic interests, limited infrastructure and institutional capacity, geopolitical competition, and uneven regional development. The study suggests that strategic alignment is essential for advancing sustainable, high-quality cooperation and fostering long-term Eurasian stability and prosperity.

Key Words: European Union; Central Asia; Global Gateway; economic and trade cooperation; geoeconomics.

EU–CENTRAL ASIA ECONOMIC AND TRADE COOPERATION: TRAJECTORY AND CHARACTERISTICS

Since the independence of the Central Asian states in the early 1990s, their economic and trade relations with the European Union (EU) have evolved in distinct phases, reflecting shifts in the international order and the dynamic adjustment of both sides' strategic interests.

Initial Stage (1991–early 2000s). Following the dissolution of the Soviet Union, the EU primarily relied on technical assistance programs such as the *TACIS* (Technical Assistance to the Commonwealth of Independent States) to support the economic transition and institutional building of Central Asian states. During this period, the EU regarded Russia as its principal interlocutor with the CIS and Central Asia, adopting a policy of "limited engagement" toward the region [1]. Constrained by its internal integration and eastward enlargement, the EU had yet to formulate an independent, unified Central Asia policy, and most bilateral exchanges followed the framework of the 1989 Trade and Cooperation Agreement signed with the Soviet Union. As Russia reinforced its influence over the "near abroad" in the mid-1990s, the EU adjusted its approach by encouraging Central Asian states to reduce dependence on Moscow and gradually clarified its regional objectives. Between 1995 and 2004, the EU concluded *Partnership and Cooperation Agreements* (PCAs) with all five Central Asian states, institutionalizing bilateral dialogue mechanisms. Overall, cooperation during this stage was marked by a strong "normative" orientation aimed at promoting market economy and rule-of-law reforms through technical assistance. However, given the EU's strategic focus on political stability and democratization, the actual scale of economic exchanges remained limited, with low levels of interaction and the absence of a comprehensive regional strategy.

Strategic Deepening Stage (early 2000s–2018). In the aftermath of the September 11 attacks, Central Asia's geopolitical value increased considerably, ushering in a new phase of EU policy. Driven by energy security concerns and broader geopolitical interests, the EU placed greater emphasis on Central Asia's resources and transit role, launching initiatives such as *Connecting Europe & Asia* to promote infrastructure connectivity. Institutionally, regular consultation platforms such as the EU–Central Asia High-Level Dialogue were established, and cooperation expanded beyond traditional trade assistance to include energy security, transportation, and border management. At the policy level, the EU issued its first Central Asia strategy document in 2002, appointed a Special Representative for Central Asia in 2005, and in 2007 released *The EU and Central Asia: Strategy for a New Partnership (2007–2013)*, which prioritized security and energy as key objectives. This marked a phase of strategic deepening and sectoral expansion. To support implementation, the EU increased financial assistance to EUR 750 million for 2007–2013, covering political and economic reforms, energy and transport, and trade facilitation, while promoting the integration of Central Asian states into the global trading system.

Stage of Geopolitical Contestation and Pragmatic Adjustment (2019–present). The current phase, characterized by the EU's *Global Gateway* strategy, reflects a shift toward geopolitical contestation and pragmatic adjustment. In the face of intensifying great-power rivalry and the geopolitical reconfiguration triggered by the Russia–Ukraine conflict, the EU has come to regard Central Asia as pivotal for enhancing supply-chain resilience and advancing its vision of "open strategic autonomy" [2]. While maintaining cooperation in traditional areas such as energy and transport, the EU has placed increasing emphasis on "values-based connectivity," seeking to balance the influence of other major powers through sustainable, high-standard infrastructure investment. After the outbreak of the Russia–Ukraine war in 2022, the EU accelerated efforts to develop the "Middle Corridor" transport route bypassing Russia, while deepening collaboration in energy diversification, digitalization, and green transition [3]. Yet Central Asia's "multi-vector diplomacy" and persistent structural constraints within the region continue to challenge the EU's ambitions for closer economic engagement. In April 2025, the inaugural *EU–Central Asia Summit* was convened, where the two sides announced the establishment of a strategic partnership and launched a EUR 12 billion Global Gateway Investment Plan focused on critical raw materials, clean energy, and digital connectivity. This development marks a new stage of institutionalized and pragmatic cooperation.

THE CURRENT STATE AND CORE AREAS OF EU–CENTRAL ASIA ECONOMIC AND TRADE COOPERATION

The EU has long been one of Central Asia's most important trading partners and principal sources of foreign investment. In recent years, bilateral economic relations have deepened, marked by growing trade volumes, structural complementarity, and the steady institutionalization of cooperation mechanisms.

Trade Scale and Institutional Development. In 2023, total trade between the EU and the five Central Asian states reached approximately EUR 59 billion. Between 2014 and 2024, EU exports to the region increased by 99.5%, while imports rose by 42.6%. The EU remains the largest source of foreign direct investment (FDI) in Central Asia, accounting for over 40% of inflows—exceeding EUR 100 billion in the past decade [4]. Kazakhstan provides a representative case: the EU is its largest trading partner, absorbing 37% of its exports and accounting for 27.9% of its trade. Moreover, the EU is Kazakhstan's leading foreign investor, with FDI stock reaching EUR 54.8 billion in 2022 [5]. In terms of trade structure, Central Asia primarily exports energy, minerals, and agricultural products, while the EU supplies machinery, equipment, and chemical goods. This complementarity underscores the mutually beneficial nature of bilateral economic ties.

Institutionally, the inaugural *EU–Central Asia Summit* held in 2025 and the establishment of a biennial summit mechanism signify a shift from "issue-based" to "institutionalized" cooperation. The EU has signed *Enhanced Partnership and Cooperation Agreements* (EPCAs) with Kazakhstan and Kyrgyzstan and is negotiating similar frameworks with Uzbekistan and Tajikistan, thereby gradually constructing a rules-based architecture for bilateral economic engagement.

Priority Areas of Cooperation. At present, EU–Central Asia cooperation is concentrated in four core domains:

Energy Resources Cooperation. Kazakhstan has become the EU's third-largest oil supplier, while Turkmenistan has made breakthroughs in gas exports to Europe through new swap agreements. Energy security thus remains a strategic pillar of bilateral relations [6].

Critical Raw Materials Supply Chains. Building on the *Memorandum of Understanding on Critical Raw Materials*, both sides are advancing cooperation in geological exploration, resource development, and processing, aiming to establish stable and sustainable supply chains.

Transport Infrastructure Connectivity. Within the *Global Gateway* framework, the EU pledged EUR 10 billion in 2024 to support Central Asian transport connectivity projects. The European Investment Bank has signed several memoranda of understanding, with a particular focus on upgrading the Trans-Caspian Transport Corridor.

Green and Digital Transition. Through initiatives such as *Sustainable Energy Connectivity in Central Asia (SECCA)*, *Connectivity for Central Asia Action (C4CA)*, and satellite internet programs, the EU is supporting low-carbon energy systems and digital infrastructure in Central Asia, fostering new drivers of growth in bilateral cooperation.

PRACTICAL CHALLENGES IN EU–CENTRAL ASIA ECONOMIC AND TRADE COOPERATION

Despite significant progress, EU–Central Asia economic relations continue to face multiple structural constraints arising from normative tensions, infrastructural deficits, geopolitical competition, and intra-regional disparities. These challenges limit the full realization of bilateral cooperation potential.

Tensions Between Normative Conditionality and Pragmatic Interests. The EU's norm-linked cooperation model, which conditions economic engagement on "democracy, human rights, and labor standards", often clashes with Central Asian states' developmental priorities and institutional realities. For instance, in Uzbekistan's textile sector, strict EU requirements on labor rights and corporate compliance have imposed high transition costs on local enterprises, delaying project implementation. Similarly, the EU's *Green Deal* and associated mechanisms—such as the Carbon Border Adjustment Mechanism (CBAM)—introduce elevated environmental standards, posing long-term competitiveness challenges for resource-exporting economies in Central Asia. In large-scale projects like the Trans-Caspian gas pipeline, EU financing has been tied to fiscal transparency and carbon intensity benchmarks, leading to repeated negotiation impasses [7]. Such deep coupling of economic cooperation with political norms reduces efficiency and undermines policy flexibility.

Infrastructure Deficits and Weak Institutional Effectiveness. Central Asia suffers from uneven infrastructural development, particularly in the Trans-Caspian corridor where port throughput capacity and multimodal connectivity remain underdeveloped, hindering the EU's large-scale logistics demands. In 2022, freight volume along the Middle Corridor reached only 1.5 million tons—less than 10% of the Northern Corridor's traffic [8]—highlighting its limited carrying capacity. Institutionally, previous agreements such as the Partnership and Cooperation Agreements (PCAs) have seen slow implementation of provisions on reducing non-tariff barriers, while complex decision-making within multilateral forums undermines policy coordination and project delivery. Moreover, business environments in Central Asia are characterized by cumbersome customs procedures, low transparency, and weak legal certainty. According to the World Bank's *Doing Business 2020* report, only Kazakhstan ranked relatively high, with the remaining Central Asian states positioned in the lower to middle tiers [9]. This increases compliance costs and investment risks for EU enterprises.

External Geopolitical and Economic Disruptions. The Russia–Ukraine conflict and related sanctions have significantly disrupted cross-border transport chains through Central Asia, revealing strategic mismatches between the EU's search for short-term substitution in energy supply and Central Asian states' preference for long-term stable markets. Meanwhile, Central Asia has become a contested arena for major powers: China promotes projects such as the China–Kyrgyzstan–Uzbekistan railway under the Belt and Road Initiative; Russia leverages the Eurasian Economic Union to maintain traditional influence; and the EU advances its Global Gateway agenda emphasizing rules-based connectivity [10]. The coexistence of multiple frameworks generates opportunities but also intensifies competition over standards and complicates strategic choices. In addition, fluctuations in global energy prices and financial markets create uncertainties for resource-dependent Central Asian economies, undermining the stability of their trade and investment relations with the EU.

Structural Disparities Within Central Asia. Significant divergences in resource endowments, levels of economic development, openness of policies, and geographical positioning shape differentiated patterns of cooperation with the EU. Kazakhstan, endowed with rich energy and mineral resources, is central to the EU's diversification strategy; Uzbekistan, as a double landlocked state, prioritizes regional integration and transit facilitation; Kyrgyzstan and Tajikistan emphasize agricultural and hydropower-related cooperation; while Turkmenistan's relatively closed economy constrains the breadth of engagement with the EU. These structural asymmetries hinder the EU's ability to implement a unified regional strategy, compelling it instead to adopt more tailored, country-specific approaches—thus increasing policy coordination costs and operational complexity [7].

CONCLUSION

EU–Central Asia economic cooperation constitutes a vital component of Eurasian geoeconomic integration and strategic interaction. This analysis demonstrates that the evolution of bilateral relations has been profoundly shaped by great-power rivalry, energy dynamics, and institutional divergences. The trajectory of cooperation reflects not only pragmatic demands for strategic complementarity but also persistent structural tensions between normative conditionality and developmental realities.

To advance toward deeper and more sustainable cooperation, the EU must enhance policy flexibility, maintaining its core standards while adopting more differentiated approaches tailored to national contexts. Central Asian states, for their part, should accelerate domestic reforms and strengthen regional coordination to improve institutional capacity and coherence in external engagement. Looking ahead, both sides need to prioritize green transition, digital infrastructure, and supply-chain resilience, while building mechanisms for institutionalized communication and risk management. The future of EU–Central Asia economic relations holds potential, yet its success ultimately depends on whether the two sides can transcend a narrow exchange of interests and develop a more inclusive and adaptive model of cooperation grounded in regional realities. Such a process is not only critical for bilateral economic gains but also bears far-reaching implications for the stability and connectivity of the Eurasian continent as a whole.

ACKNOWLEDGEMENT

This work was supported by the National Social Science Fund of China (No. 22CGJ04) and the Shenzhen University Social Sciences 2035 Program (No. ZYQN2416).

REFERENCES:

1. Treshchenkov, E. Y. (2022). The Central Asia region in the policy of the European Union. *Sovremennaya Evropa*, 1(108), 184–195.

2. Serbina, A. S. (2023). Economic instruments of the EU's political influence in Central Asia. *Konfliktologiia/nota bene*, 4, 1–22.

3. Gu, W. (2024). Adjustment of the EU's Central Asia policy: Strategic autonomy and dual-level commitments. *Xiandai guoji guanxi*, (4), 43–59, 138–139.

4. Council of the European Union. EU-Central Asia trade. https://www.consilium.europa.eu/en/infographics/eu-central-asia-trade/

5. European Commission. EU trade relations with Kazakhstan: Facts, figures and latest developments. https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/kazakhstan_en

6. Muratova, M., Sadri, H., Medeubayeva, Z., & Issayeva, A. (2025). The EU and Kazakhstan in the latest geopolitical and geoeconomic conditions: New dimensions of partnership. *Journal of Eurasian Studies*, 16(1), 20–31.

7. Szent-Iványi, B., & Piroska, D. (2025). Geopolitics on a shoestring? Unpacking the EU's geopolitical external assistance to Central Asia. *JCMS: Journal of Common Market Studies*. https://doi.org/10.1111/jcms.70037.

8. Dušek, M. (2023). From pathway to highway in Eurasia. World Economic Forum. https://www.weforum.org/stories/2023/06/creating-a-green-and-digital-corridor-through-eurasia

9. World Bank. (2019). Doing business 2020: Comparing business regulation in 190 economies. Washington, DC: World Bank.

10. Tagliapietra, S. (2024). The European Union's global gateway: An institutional and economic overview. The World Economy, 47(4), 1326–1335.